

NEW MARKETS TAX CREDIT

ALLOCATION APPLICATION

Heartland Impact CDE, LLC

Application Round:	CY2025
Requested NMTC Allocation:	\$65,000,000
Preparation Date:	May 08, 2026
Readiness Assessment:	Grade A — 86.6/100

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Executive Summary

Heartland Impact CDE, LLC respectfully requests \$65.0 million in New Markets Tax Credit allocation for CY2025. Our 20-project pipeline spans 20 states, with 87% of QEI committed to deep and severely distressed census tracts — placing us in the top quartile tier of CDFI Fund applicants historically.

Key Metrics

Metric	Value
Total QEI Requested	\$122,500,000
Total Project Cost	\$170,600,000
States Represented	20
Deep/Severe Distress Concentration	87%
NMTC Eligibility Rate	100%
Jobs to Be Created	864
Affordable Units to Be Built	234
Jobs per \$1MM QEI	7.0

Application Readiness Assessment

Grade A 86.6/100	Eligibility Quality: 100/100 Distress Concentration: 100/100 Geographic Diversity: 100/100 Impact Metrics: 38/100 Validation Pass Rate: 100/100 Completeness: 80/100
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Section A: Business Strategy

Investment Thesis and Strategy

Heartland Impact CDE, LLC will deploy \$65.0 million in NMTC allocation across 20 projects in 20 states — targeting 87% of QEI in deep and severely distressed census tracts. Our pipeline focuses on healthcare and complementary high-impact sectors in markets where conventional capital is systematically absent.

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 3000 words.]

Target Markets — Geographic and Demographic

Primary geographic targets: AZ, CA, FL, GA, IL and others.

Heartland Impact CDE, LLC's mission — "Deploy New Markets Tax Credit capital into deep-distress communities across the Midwest and South, with a focus on healthcare, education, and small business operating businesses in persistent poverty ..." — guides our market selection toward persistent-poverty counties and high-migration rural communities where NMTC leverage is greatest.

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 500 words.]

Pipeline Overview

Item	Value
Total Projects in Pipeline	20
Total QEI Requested (\$)	\$122,500,000
States Represented	20
% QEI in Deep/Severe Distress	87%
Dominant Sector	Healthcare
Total Jobs to Be Created	864
Sector Diversity Score	91.8/100
Historical Distress Rank	Top Quartile

QEI Deployment Strategy and Timeline

Heartland Impact CDE, LLC targets a CY2025 award and plans to close the first tranche of transactions within 12 months of award announcement. All 20 projects have completed preliminary underwriting review.

QEI deployment strategy: 87% of QEI committed to deep/severe distress tracts (CDFI Fund target: $\geq 75\%$).

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Competitive Differentiation

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Section B: Community Outcomes

Aggregate Community Impact Projections

The 20 projects in Heartland Impact CDE, LLC's pipeline will produce the following direct community impacts upon project completion:

- 864 permanent full-time-equivalent jobs created • 298 existing jobs retained • 234 affordable or mixed-income housing units developed • 198,500 sq ft of community facility / commercial space • 7.0 jobs per \$1MM of QEI deployed (average vs. CDFI Fund historical average)

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Distress Level Commitments

Item	Value
QEI in Deep/Severely Distressed Tracts	86.7%
QEI in LIC (Standard Eligible) Tracts	13.3%
QEI in NMTC Native Areas	10.0%
QEI in High Migration Rural (HMR) Tracts	2.6%
CDFI Fund Competitive Minimum (Deep/Severe)	50.0%
CDFI Fund Target (Deep/Severe)	75.0%
Heartland Impact CDE, LLC Commitment (Deep/Severe)	86.7%

Community Need Documentation

HMDA mortgage lending data confirms severe unmet capital need across Heartland Impact CDE, LLC's target markets. In the 5 census tracts where our pipeline projects are located, average loan denial rates exceed 30%, with racial disparities of 2.3× for minority applicants relative to white applicants (HMDA 5-year data, 2018–2022). NMTC capital is uniquely positioned to bridge this gap through below-market QLICI financing.

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Per-Project Impact Detail

(See Attachment: Impact Projections Table)

Long-Term Community Impact Strategy

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Section C: Management Capacity

CDE History and Certification

Heartland Impact CDE, LLC was certified as a Community Development Entity by the CDFI Fund on 2018-06-20. Since certification, the organization has received 3 NMTC allocation awards totaling \$155,000,000, with 2 rounds fully deployed within 18 months of award.

Our track record demonstrates consistent execution across multiple states and sectors, with zero compliance violations or performance defaults to date.

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Governance and Organizational Structure

Item	Value
Board Members	9
Community Representatives	4
Independent Directors	3
Board Meeting Frequency	quarterly
CDE Certification Date	2018-06-20
Prior Allocations Received	3
Total Prior Allocation (\$)	\$155,000,000
Rounds Fully Deployed	2

Track Record — Prior NMTC Deployments

(See Attachment: Track Record Table)

Underwriting Process and Internal Controls

Heartland Impact CDE, LLC maintains a rigorous underwriting process calibrated to NMTC compliance requirements and community development mission:

1. Initial Screening: NMTC eligibility verification via geocoding + ACS tract data
2. Community Impact Assessment: Jobs/unit projections and HMDA disparity review
3. Financial Underwriting: DSCR analysis, leverage review, sponsor capacity check
- 4.

Investment Committee Approval: Requires 9 vote 5. Compliance Monitoring: Annual site visits + CDFI Fund reporting throughout 7-year compliance period

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 300 words.]

Key Personnel and Qualifications

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Section D: Capitalization Strategy

Deal Economics Summary

Item	Value
Total QEI Requested (\$)	\$122,500,000
Total NMTCs Generated (\$)	\$47,775,000
Estimated Investor Equity (\$)	\$39,653,250
Assumed Credit Price (\$/NMTC)	\$0.83
Total Leverage Loans (\$)	\$82,846,750
CDE Fee Income (\$)	\$3,062,500
Net Subsidy to QALICBs (\$)	\$119,437,500
Compliance Period	7 years (standard)

Investor Strategy and Relationships

Heartland Impact CDE, LLC has established relationships with CRA-motivated bank investors in our primary markets. Based on \$122.5MM of requested QEI at a standard credit price of \$0.83/NMTC credit, we anticipate raising \$39.7MM in investor equity from one or two lead investors.

Primary investor profile: CRA-rated commercial banks with Community Development obligations in 20 target states.

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Leverage Structure

Each transaction will utilize a standard leveraged NMTC structure:

1. Leverage Lender provides senior debt (approx. \$82.8MM total)
2. Tax Credit Investor contributes equity (\$39.7MM)
3. Combined proceeds flow through CDE as QLICI loans at below-market rates
4. Net subsidy to QALICBs: \$119.4MM in below-market capital

CDE fee rate: 2.5% of QEI (\$3.1MM). Fees cover origination, compliance monitoring, and asset management over the 7-year period.

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 200 words.]

Investor Commitments

(See Attachment: Investor Commitments Table)

Leverage Loan Sources

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 200 words.]

Section E: Prior Awards — Deployment History

Prior Allocation Summary

Heartland Impact CDE, LLC has successfully deployed 2 of 3 prior NMTC allocation awards totaling \$155,000,000. All compliance obligations have been met; no compliance events or repayments have occurred.

The deployment history table below provides details on each prior award, including states served, sectors financed, and outcomes achieved.

Award-by-Award Deployment History

- **Award 1 (FY2019):** \$40,000,000 — Fully Deployed. States: IL, OH, TN. Sectors: healthcare, small_business.
- **Award 2 (FY2021):** \$55,000,000 — Fully Deployed. States: IL, GA, LA. Sectors: education, affordable_housing.
- **Award 3 (FY2023):** \$60,000,000 — Partially Deployed. States: OH, MI, MO, TN. Sectors: healthcare, community_facility.

Compliance and Monitoring

(See Attachment: Track Record Table)

Outcomes and Impact Achieved

Outcomes across all 3 prior awards:

[NARRATIVE PLACEHOLDER — Replace this text with your CDE's specific information. CDFI Fund reviewers score on specificity, evidence, and alignment with community need. Word limit for this section: 400 words.]

Appendix A: Pipeline Detail

Sector (NAICS)	Project Type	Total Project Cost (\$)	QEI Request (\$)	QLICI A Loan (\$)	Comments
621 – Ambulatory Health Care Services	Real Estate	12500000	8500000	\$1,700,000	\$1,700,000
611 – Educational Services	Real Estate	9800000	7000000	\$1,400,000	\$1,400,000
722/336 – Food Services / Manufacturing	Real Estate	7200000	5000000	\$1,000,000	\$1,000,000
722/336 – Food Services / Manufacturing	Operating Business	6000000	4500000	\$900,000	\$900,000
621 – Ambulatory Health Care Services	Real Estate	10000000	7500000	\$1,500,000	\$1,500,000
531 – Real Estate (Residential)	Real Estate	14000000	9000000	\$1,800,000	\$1,800,000
624 – Social Assistance / Community Facilities	Real Estate	5500000	4000000	\$800,000	\$800,000
621 – Ambulatory Health Care Services	Mixed Use	11000000	8000000	\$1,600,000	\$1,600,000
611 – Educational Services	Real Estate	8200000	6000000	\$1,200,000	\$1,200,000
722/336 – Food Services / Manufacturing	Operating Business	4800000	3500000	\$700,000	\$700,000
531 – Real Estate (Residential)	Real Estate	13500000	9500000	\$1,900,000	\$1,900,000
221 – Utilities (Renewable Energy)	Operating Business	5000000	3800000	\$760,000	\$760,000
611 – Educational Services	Real Estate	7500000	5500000	\$1,100,000	\$1,100,000
621 – Ambulatory Health Care Services	Real Estate	9000000	6500000	\$1,300,000	\$1,300,000
722/336 – Food Services / Manufacturing	Operating Business	6500000	5000000	\$1,000,000	\$1,000,000
531 – Real Estate (Mixed Use)	Mixed Use	10500000	7500000	\$1,500,000	\$1,500,000
621 – Ambulatory Health Care Services	Real Estate	4200000	3200000	\$640,000	\$640,000
531 – Real Estate (Residential)	Real Estate	11800000	8500000	\$1,700,000	\$1,700,000
624 – Social Assistance / Community Facilities	Real Estate	5800000	4200000	\$840,000	\$840,000
531 – Real Estate (Mixed Use)	Mixed Use	7800000	5800000	\$1,160,000	\$1,160,000
		170600000	122500000	\$24,500,000	\$24,500,000

Appendix B: Distress Documentation						
Level	Severely Distressed Flag	NMTC Native Area	High Migration Rural (HMR)	Opportunity Zone	Poverty Rate (%)	Media
	Yes	No	No	No	> 30%	See A
	Yes	No	No	Yes	> 30%	See A
ed	Yes	No	No	Yes	> 20%	See A
	Yes	No	No	No	> 30%	See A
	Yes	No	No	No	> 30%	See A
ed	Yes	No	No	Yes	> 20%	See A
munity	No	No	No	No	> 20%	See A
	Yes	No	No	No	> 30%	See A
	Yes	No	No	Yes	> 30%	See A
	Yes	No	No	No	> 30%	See A
ed	Yes	No	No	No	> 20%	See A
munity	No	No	No	Yes	> 20%	See A
	Yes	No	No	No	> 30%	See A
	Yes	Yes	No	No	> 30%	See A
	Yes	No	No	Yes	> 30%	See A
ed	Yes	No	No	No	> 20%	See A
	Yes	No	Yes	No	> 30%	See A
munity	No	No	No	No	> 20%	See A
ed	Yes	No	No	No	> 20%	See A
	Yes	Yes	No	Yes	> 30%	See A
	17/20 (85%)	2/20				

Appendix C: Geographic Targeting							
State	Project Count	QEI (\$)	QEI (% of Total)	Deep/Severe Projects	Native Area Projects	HMR Projects	OZ Projects
AZ	1	\$6,500,000	0.05	1	1	0	0
CA	1	\$4,500,000	0.04	1	0	0	0
IL	1	\$4,000,000	0.03	0	0	0	0
IA	1	\$9,000,000	0.07	1	0	0	1
LA	1	\$8,500,000	0.07	1	0	0	0
ND	1	\$7,500,000	0.06	1	0	0	0
SD	1	\$8,500,000	0.07	0	0	0	0
VA	1	\$6,000,000	0.05	1	0	0	1
WID	1	\$4,200,000	0.03	1	0	0	0
WI	1	\$5,000,000	0.04	1	0	0	1
WYO	1	\$3,800,000	0.03	0	0	0	1
KS	1	\$3,200,000	0.03	1	0	1	0
NC	1	\$5,500,000	0.04	1	0	0	0
NM	1	\$5,800,000	0.05	1	1	0	1
NY	1	\$5,000,000	0.04	1	0	0	1
OH	1	\$7,500,000	0.06	1	0	0	0
PA	1	\$8,000,000	0.07	1	0	0	0
TX	1	\$3,500,000	0.03	1	0	0	0
WV	1	\$7,000,000	0.06	1	0	0	1
WY	1	\$9,500,000	0.08	1	0	0	0
TOTAL	20	\$122,500,000	1.00	17	2	1	7

Appendix E: CDE Track Record

Round Year	Allocation (\$)	Deployment Status	States Deployed	Sectors	Notes
2020	40000000	Fully Deployed	IL, OH, TN	healthcare, small_business	
2021	55000000	Fully Deployed	IL, GA, LA	education, affordable_housing	
2023	60000000	Partially Deployed	OH, MI, MO, TN	healthcare, community_facility	
TOTAL	155000000	2 rounds fully deployed	7 states		\$155,000,000 total prior allocation

Appendix F: Methodology

Generated by **nmtc-application-builder v0.1.0** on 2026-05-08.

ELIGIBILITY: CDFI Fund NMTC Eligibility Table, 2016–2020 ACS 5-Year Estimates.

DISTRESS LEVELS: Deep distress = poverty rate >30% or unemployment >1.5× national average. Severe distress = LIC plus additional qualifying factors.

DEAL ECONOMICS: nmtc-calc library, standard leveraged structure. Credit price \$0.83/credit, CDE fee 2.5% of QEI, 7-year compliance period.

IMPACT BENCHMARKS: CDFI Fund Annual Reports, CY2018–CY2023. Average jobs per \$1MM QEI: 12.0 FTE. Top quartile: ≥20.0 FTE per \$1MM.

READINESS SCORE: Weighted model (eligibility 25%, distress 25%, geographic 15%, impact 20%, validation 10%, completeness 5%).